MICRO SMALL AND MEDIUM ENTERPRISE IN INDIA

The India is a devloping nation where half of thepouplation is dependent on agriculture and the economic shift from agriculture to manufacturing to service sector for the inclusive growth devlopement. India has to focus on the manufacturing sector as it not only improves on micro level like employment, income etc. but also on macro level like fiscal deficit, international trade and etc.

The large Companies cannot absorb the growing pouplation which lead to high unemployment and need of imports and foreign technologies. So, Government has to focus on increasing no. of enterprise or mznufacturing centeres. To solve this problem MSMEs become the major solution as it directly impact common man leading to normal distribution of income and wealth.

As MSMEs hold a great position in shaping India`s future I have chosen this as my research project.

Introduction

MSMEs are Micro, Small and Medium Enterprise are the backbone of an economy and classified on investment and turnover, they cover both manufacturing and service sectors. In India, they are classified as:

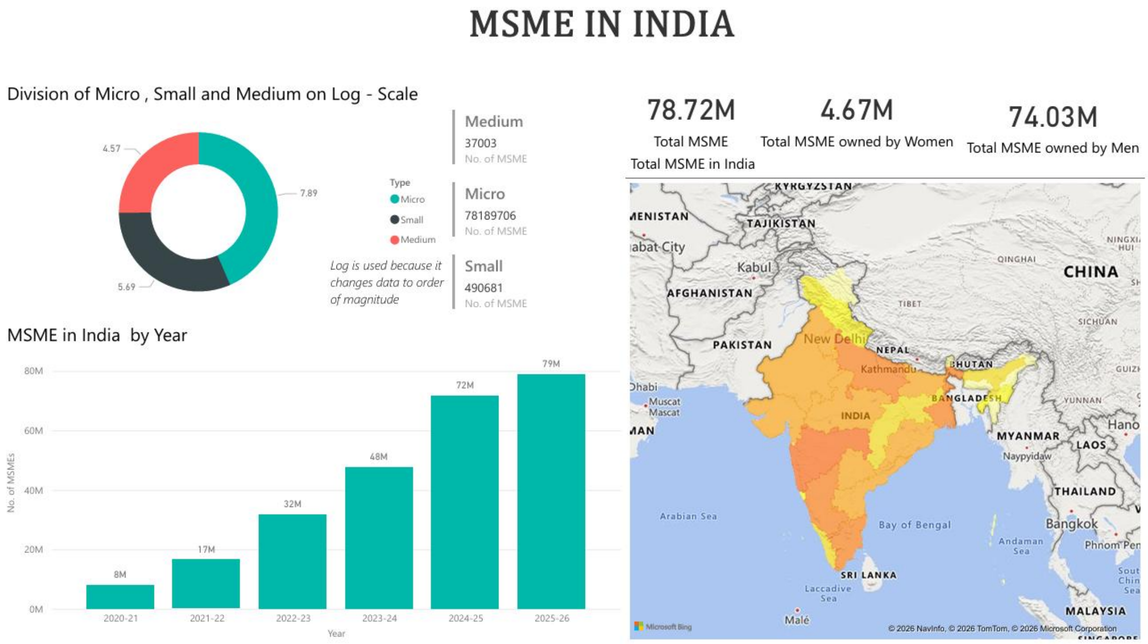
Type	Investment	Turnover
Micro	Less than 1 crores	Less than 5 crores
Small	Less than 10 crores	Less than 50 crores
Medium	Less than 50 crores	Less than 250 crores

These enterprises span an extraordinary range of activities from traditional handicrafts and artisan goods to modern manufacturing, software services, and agricultural processing. They are present in every corner of the country, from the most urbanised metropolises to the remotest rural hinterlands, making them not merely an economic category but a social institution that sustains millions of livelihoods.

This paper aims to provide a scholarly, in-depth analysis of the MSME sector across four key dimensions: its definition and classification, its contribution to GDP and employment, the challenges it faces, and its engagement with export markets and global competition. By synthesising data from government reports, academic literature, and industry surveys, the paper seeks to offer a nuanced understanding of where the MSME sector stands today and what needs to change for it to fulfil its immense potential.

Now, let`s look into the Visualisations and Dashboards and discover this sector of India.

Overview



This is the first dashboard which gives the overview of MSMEs in India.

This Dashboard deals with the overall view of MSME in India. This Dashboard directly gives idea how MSMEs are divided among States and in their own bifurcations.

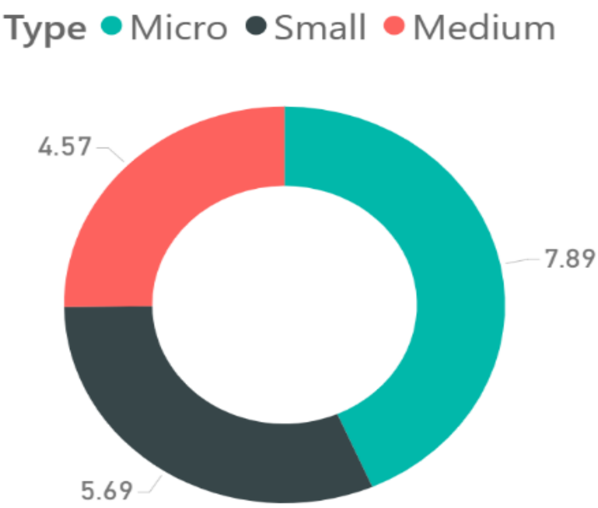
The geographic spread of MSMEs makes them important instruments of balanced regional development. States like Uttar Pradesh, West Bengal, Tamil Nadu, and Maharashtra have particularly large MSME sectors that are major contributors to state economies. The MSME sector's ability to generate economic activity in Tier-2 and Tier-3 cities and rural areas helps reduce the concentration of economic activity in a few major urban centres and contributes to more inclusive spatial development.

It shows 78.72 million MSMEs are in India in Year 2025 with 74.03 Million owned by men and 4.67 million by Women. This is an important but often underappreciated dimension of MSME employment is its role in promoting women's economic participation. women-owned enterprises account for approximately 5.96% of all enterprises in India, a figure that has been growing steadily. The MSME sector is particularly important for women in rural areas, where non-farm employment opportunities are limited and MSMEs in sectors like food processing, handloom weaving, and dairy provide accessible pathways to economic independence.

1.This is the Graph Representing Division of Micro and Small and Medium on Log - Scale

Technicality – It is a donut chart where we have used log scale not to manipulate data but to show from a different view. In log the order of magnitude will be shown. Micro - 7.8M , Small – 0.4M , Medium – 0.03M.

This is done when data can`t be shown on linear axis or huge disparity.

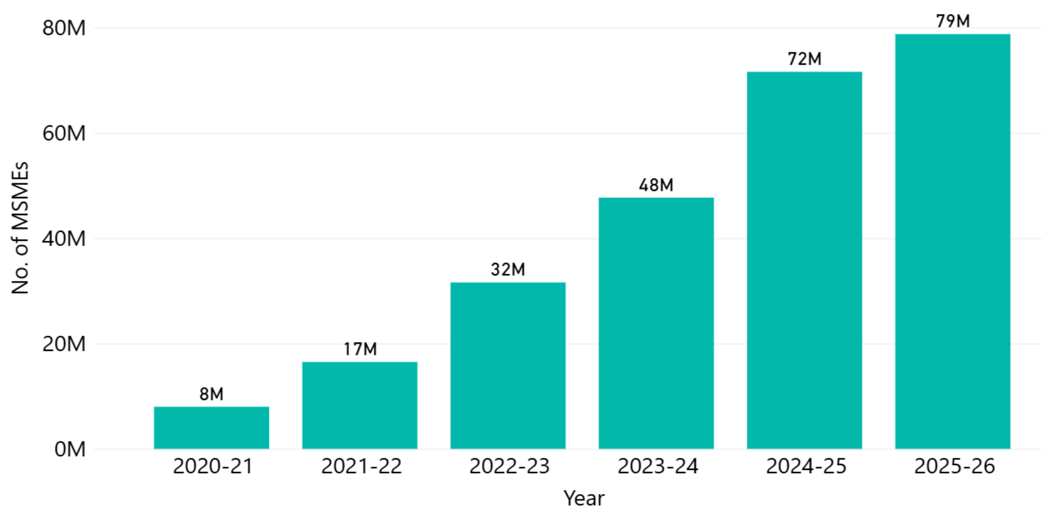


Inference – this graph shows how Micro, small and medium enterprise are divided among themselves with almost 7 crore micro enterprise and only 37,000 medium enterprise which is but the contribution of medium holds more because of high revenue and more formalisation.

This distribution highlights a highly skewed structure of the MSME sector, where Micro enterprises dominate in terms of number but not necessarily in productivity or output.

Medium enterprises, though very few, are more capital-intensive, technologically advanced, and contribute disproportionately to exports and formal economic activity.

2.The Growth in Number of MSMEs in INDIA



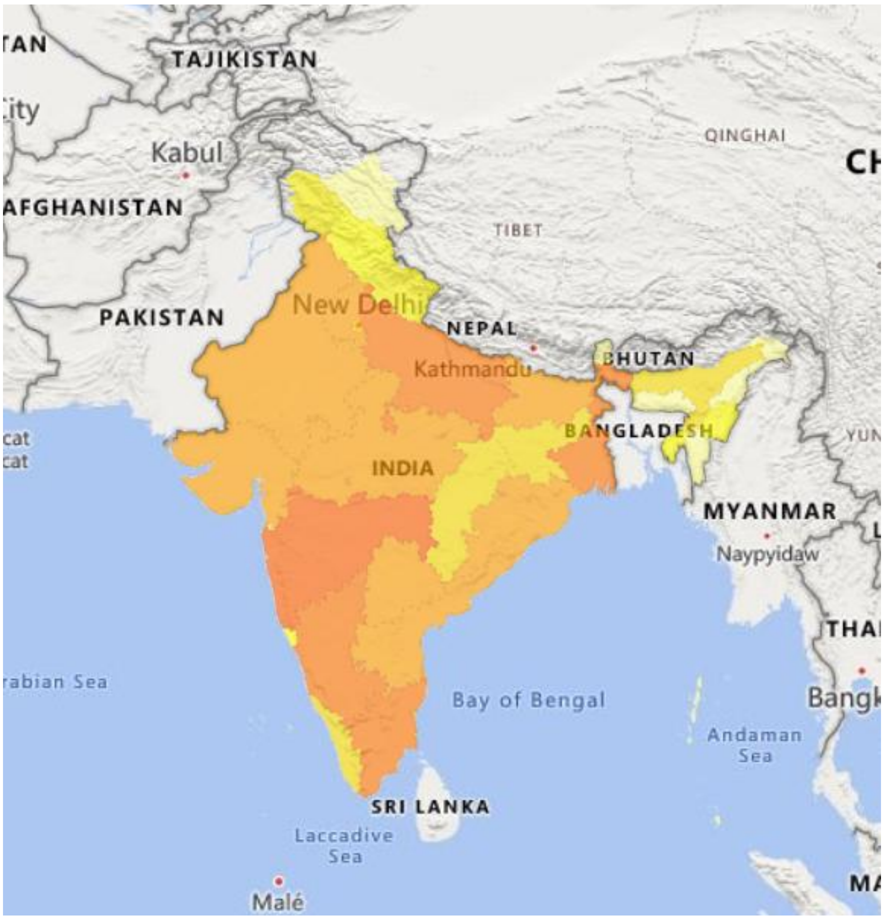
Technicality – This is a simple Bar graph which with number of MSMEs on Y axis and year on X – Axis.

Inference- In India the proper or substantial number of MSME came in year 2020-21 and have doubled for almost 2 years and increased till 2024 – 25 but only 2 million have increased in 2025 -26 which I s a sudden decrease.

This happened because before COVID – 19 government doesn`t have more focus on MSMEs but as government came out with so many Schemes to achieve Atamnirbhar Bharat which led to a great push in MSME numbers but recently the MSMEs have reached the saturation because of Youth and their interest in opening new enterprise.

The data shows a sharp rise in MSMEs from 8 million in 2020–21 to 72 million in 2024–25, indicating rapid formalization and registration of enterprises. However, the growth rate slows down significantly in 2025–26, increasing only from 72 million to 79 million. This does not indicate a decline, but rather a deceleration in growth, suggesting that the sector may be approaching saturation or stabilization.

3.State Wise Division of MSMEs



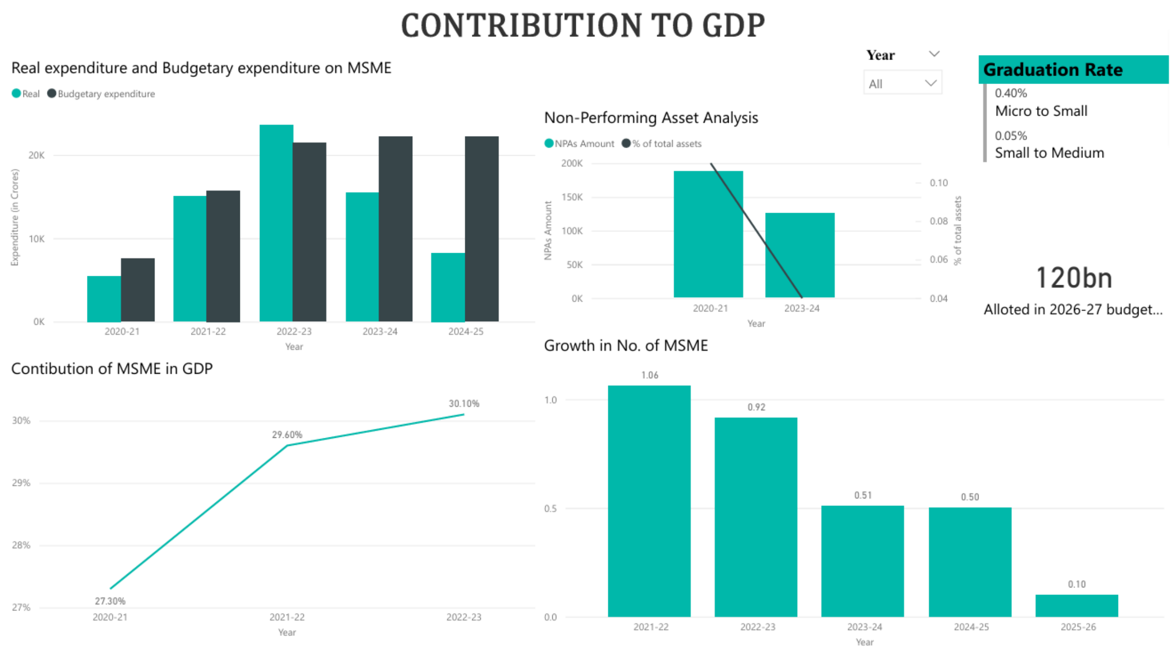
Technicality-This Graph is a Filled Map with applied Conditional Formatting in this the no. of MSMEs in India in tooltips and the State/UTs column was first modifies as state data type then it was placed in location column.

The darker the shade is the more no. of MSMEs State will have.

Inference - The map represents the regional distribution of MSMEs across different states of India, highlighting clear geographical disparities in their concentration. It can be observed that western and southern states such as Maharashtra, Gujarat, Tamil Nadu, and Karnataka show a higher density of MSMEs, indicated by darker shades.

In contrast, northern and eastern regions, including states like Bihar, Jharkhand, and parts of the North-East, display relatively lower MSME presence. This may be attributed to weaker infrastructure, limited industrialization, and lower access to finance and markets.

Contribution to GDP



This Dashboard deals with the Government Spending on MSMEs and how they are performing.

The Dashboard Covers the Total Budgetary and real expenditure done by the Government and also it covers the Contribution of MSME in GDP in Domestoc Economy.

The significance of this contribution becomes clearer when viewed in the context of India's overall economic structure.

India is a consumption-driven economy, and MSMEs play a critical role in sustaining domestic consumption by generating incomes across a wide demographic spectrum.

They also play a vital role in the supply chains of large industries — sectors such as automobiles, textiles, and electronics rely extensively on MSME vendors for components, sub-assemblies, and ancillary services.

Estimates suggest that for every Rs. 100 of output by large industries, MSMEs contribute approximately Rs. 35-40 through backward and forward linkages.

1.Government Expenditure

Technicality – This is a clustered column chart which shows Allocated and Real expenditure of government from 2020-21 and also it can be controlled for year with an added slicer.

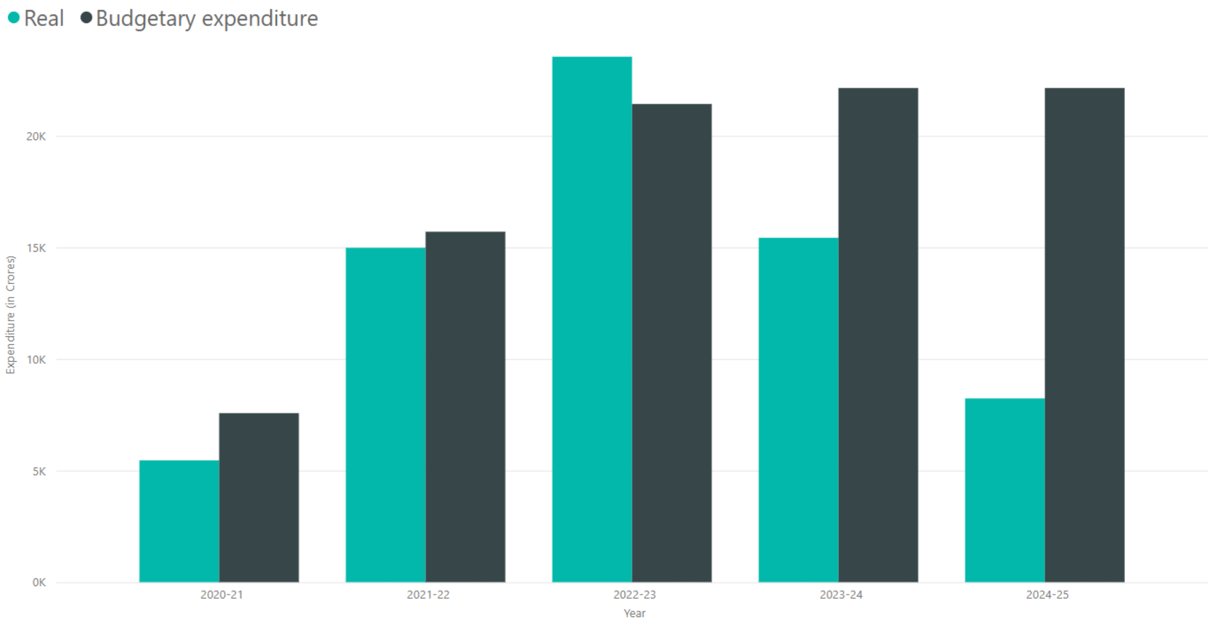
Inference – This Graph Shows always the Government real expenditure is being less than allocated in budget because of executional issues.

The Government allocation has expanded across years but the real spending has reduced as reforms in tax policies and decline in growth of number of MSMEs.

The Graph also has the 2022-23 being contradicting with the first one as in year 2022-23 the MSMEs doubled on a large scale with huge output so it can be the reason for high spending.

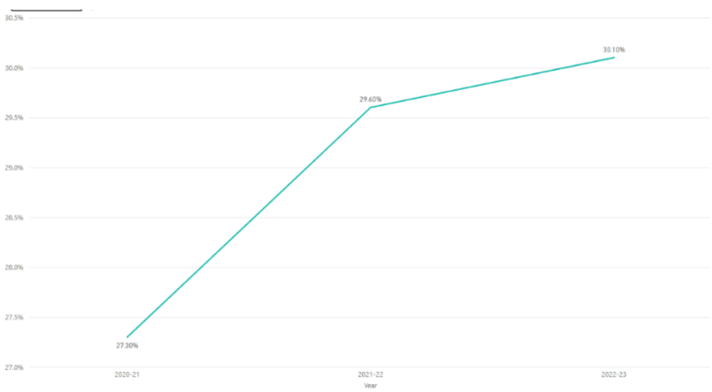
The Graph shows Government expenditure has boomed after 2020-21 to breakdown economic recession and restart the economy.

The recent update is the government has 120 billion rupees for MSMEs which is again an expand it is to incentivize the receding growth of MSME.



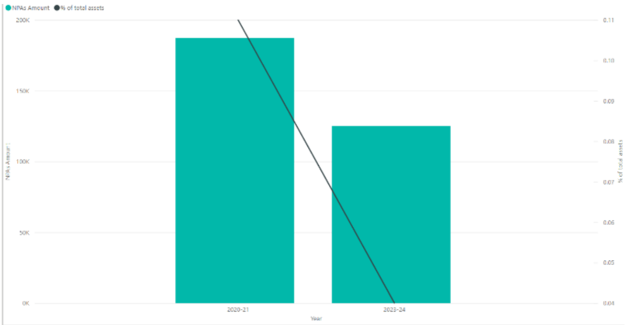
As we can see in 2nd graph the receding Growth in MSMEs.

2.Contribution to GDP



Technicality – The Graph has line showing contribution of MSMEs as whole of GDP.

The Line graph has year on X-Axis and %on Y axis.



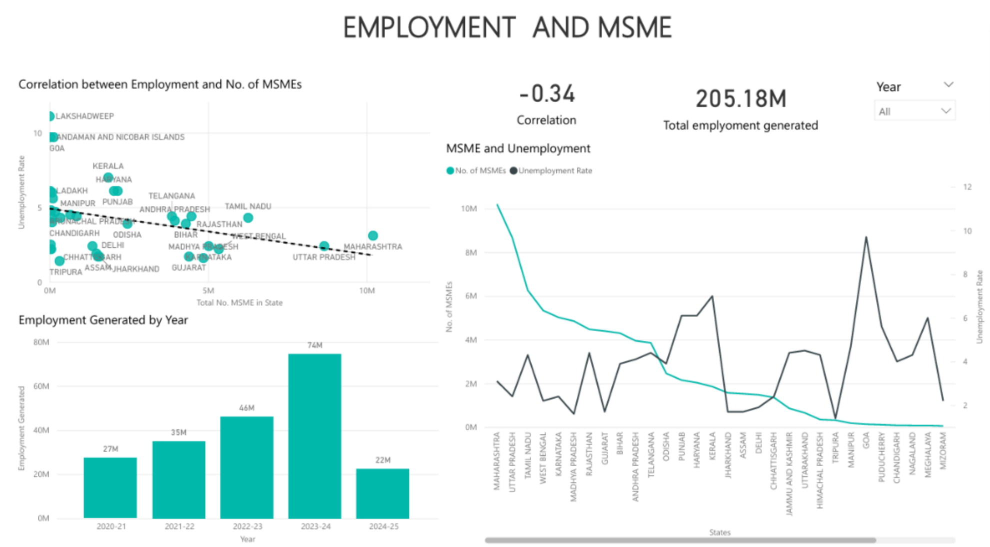
Technicality – This a Line and Column chart with Non – Performing assets on Bar and their percentage on line. Both Data saves from Statistical Mislead.

Inference – The graphs together present a comprehensive picture of the role and financial condition of MSMEs in the economy of India. The line graph clearly shows that the contribution of MSMEs to GDP has increased steadily over the years, rising from around 27% to above 30%. This indicates that MSMEs are becoming an increasingly important pillar of economic growth, contributing not only to production but also to employment generation and exports. The upward trend reflects improved policy support, formalization through digital registration, and increased participation of small businesses in the organized sector.

At the same time, the second graph highlights the issue of Non-Performing Assets (NPAs) in the MSME sector. While the percentage trend may show some variation, the presence of NPAs indicates financial stress among enterprises, especially smaller units that struggle with loan repayment due to market uncertainty, lack of capital, or operational inefficiencies. This creates a contrast where, despite growing economic contribution, the sector still faces structural challenges.

The combined interpretation suggests that although MSMEs are expanding and contributing more to GDP, their financial health needs attention. High NPAs can reduce credit availability and hinder future growth. Therefore, there is a need for better credit management, policy support, and financial literacy among entrepreneurs.

Employment



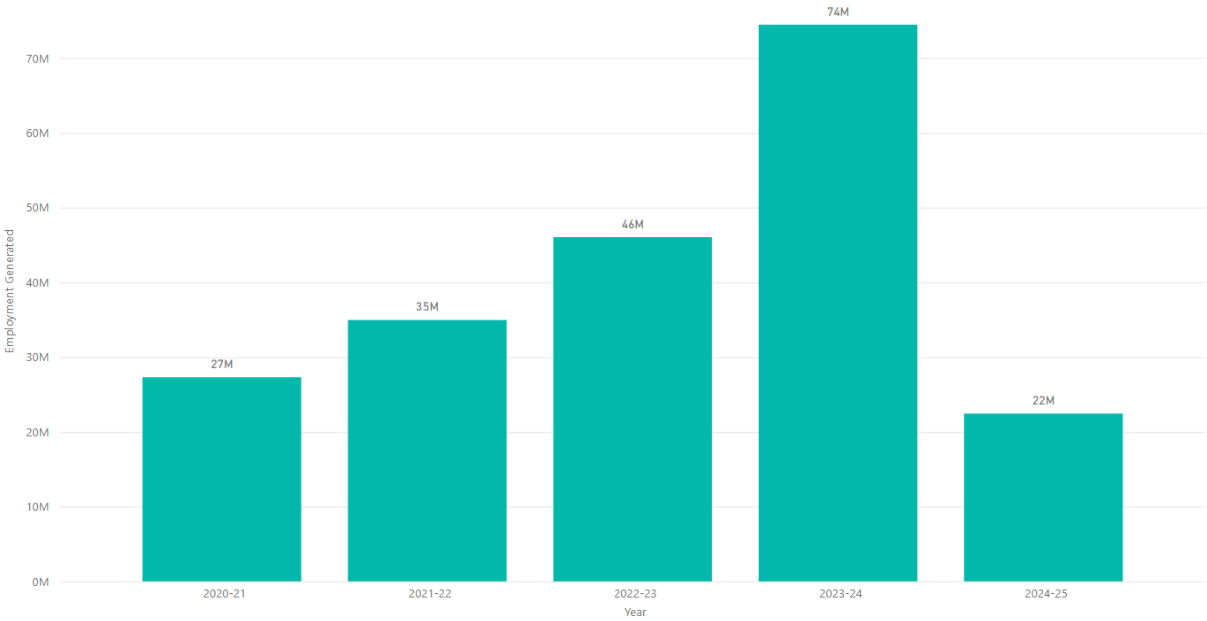
This Dashboard deals with the employment part of the MSMEs . Perhaps the most powerful argument for the centrality of MSMEs to Indian economic policy is their role as employment generators. With over 110 million workers employed across the sector — a figure that makes it the largest non-agricultural employer in the country — MSMEs are central to India's ability to absorb its young and growing workforce. The demographic dividend that India is projected to enjoy over the next two decades can only translate into economic growth if sufficient employment opportunities are created, and MSMEs are positioned as the primary vehicle for this absorption.

The employment character of MSMEs is qualitatively different from that of large enterprises. MSME employment tends to be labour-intensive, low-capital, and geographically dispersed, which makes it particularly valuable for inclusive growth. While large enterprises tend to be concentrated in major urban centres and employ a relatively skilled and educated workforce, MSMEs absorb a much broader demographic — including semi-skilled workers, women, migrants, and individuals from socially and economically marginalised communities. Studies show that the MSME sector accounts for approximately 45% of India's total industrial employment and a significant share of employment in the unorganised sector.

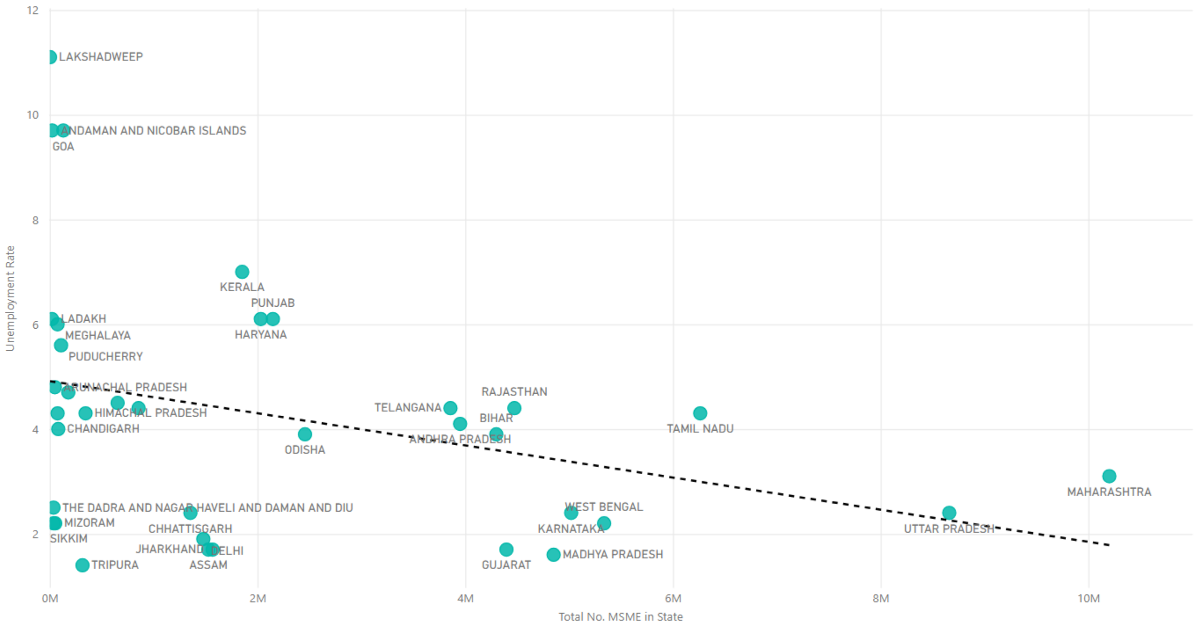
1.Employment Generated

Technicality -The Graph is a simple bar graph with year and no. of employees hired in that year.

Inference – This Graph depicts the continuous exponential amount employment generated by MSMEs and also it shows that there is a sudden downfall in latest year, thus is because of receding growth of MSME in India. MSMEs reaching saturation point makes difficult to employee with same Policies and Infrastructure.



2.Correlation of Employment and MSME – State Wise



Technicality – This is a Scatter plot showing Correlation between Unemployment rate and Total no. of MSMEs with a trendline.

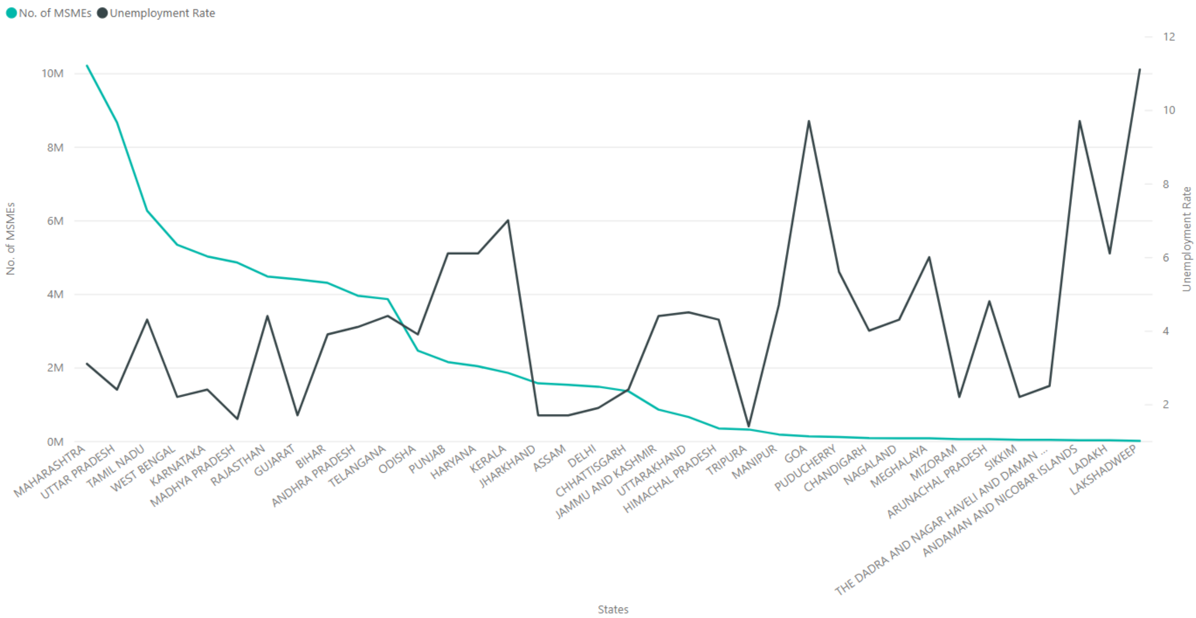
Inference – The scatter plot presents the relationship between the total number of MSMEs in each state and the unemployment rate, and the trendline indicates a ***negative correlation of −0.34***. This suggests a moderate inverse relationship, meaning that as the number of MSMEs increases, the unemployment rate tends to decrease. However, since the correlation is not very strong, it also indicates that MSMEs are only one of several factors influencing employment levels.

From the graph, states with a higher concentration of MSMEs, such as Maharashtra, Tamil Nadu, and Uttar Pradesh, generally show lower unemployment rates compared to smaller states or union territories. On the other hand, regions like Lakshadweep and the Andaman & Nicobar Islands exhibit higher unemployment despite having very few MSMEs, reinforcing the idea that limited industrial and business activity contributes to fewer job opportunities.

At the same time, there are some deviations from the trend. For example, states like Kerala and Punjab have a relatively moderate number of MSMEs but still experience comparatively higher unemployment. This implies that factors such as skill mismatch, population structure, and economic diversification also play an important role.

When this analysis is connected to a line graph showing unemployment rate and number of MSMEs over time, the relationship becomes clearer. Typically, as the line representing MSMEs rises (indicating growth in enterprises), the unemployment line tends to move downward or stabilize. This visual trend supports the scatter plot's conclusion that growth in MSMEs contributes to job creation. However, occasional divergences in the line graph would further highlight that MSME growth alone is not sufficient; supportive policies, infrastructure, and workforce readiness are equally important.

Let`s look into other important aspect of it.



<u>Technicality</u> – This is a line graph with States on X – Axis and two lines of MSMEs and Unemployment rate.

<u>Inference –</u>

In states like Maharashtra, Tamil Nadu, and Uttar Pradesh, a high density of MSMEs (ranging from 6M to 10M) generally correlates with relatively lower or moderate unemployment rates. This suggests that a robust MSME ecosystem acts as a primary engine for local job creation.

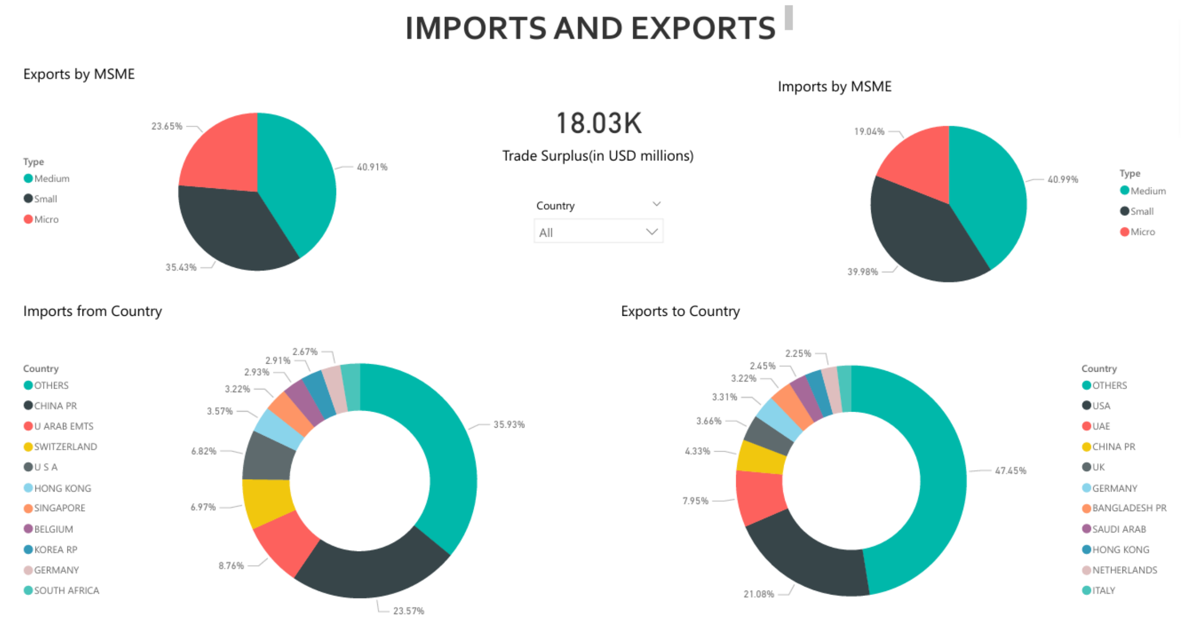
As we move toward the right side of the graph representing smaller states and UTs (e.g., Goa, Ladakh, Lakshadweep) the number of MSMEs drops significantly. Interestingly, the unemployment rate becomes highly volatile, reaching peaks near 10-11%.

The "ups and downs" are driven by economic scale. In smaller regions, the lack of industrial infrastructure (low MSME count) forces the workforce to rely on limited government jobs or seasonal tourism, leading to higher unemployment.

Conversely, states with high MSME counts benefit from diverse ancillary industries that absorb various skill levels.

However, exceptions like Kerala show high unemployment despite decent MSME numbers, likely due to higher educational aspirations or a mismatch between available local jobs and the specialized skills of the workforce.

International Trade



This Dashboard deals with the share of international trade by MSMEs India's MSME sector is a significant contributor to the country's export earnings, accounting for approximately 48% of total merchandise exports. This share underscores the sector's deep integration into global trade, though it also masks considerable variation across sectors and enterprise types. MSME-dominated export sectors include gems and jewellery (which alone accounts for approximately 12-15% of India's merchandise exports), textiles and apparel, leather and leather products, engineering goods, handicrafts, chemicals, and processed foods.

The Dashboard moves with the country slicer helps us to explain the international trade with respect to the Countries.

The Dashboard shows that MSMEs have generated International ***Trade Surplus Of 18,000 million US dollars*** this is a great achievement for MSMEs as India is facing Fiscal Deficit MSMEs gives trade surplus.

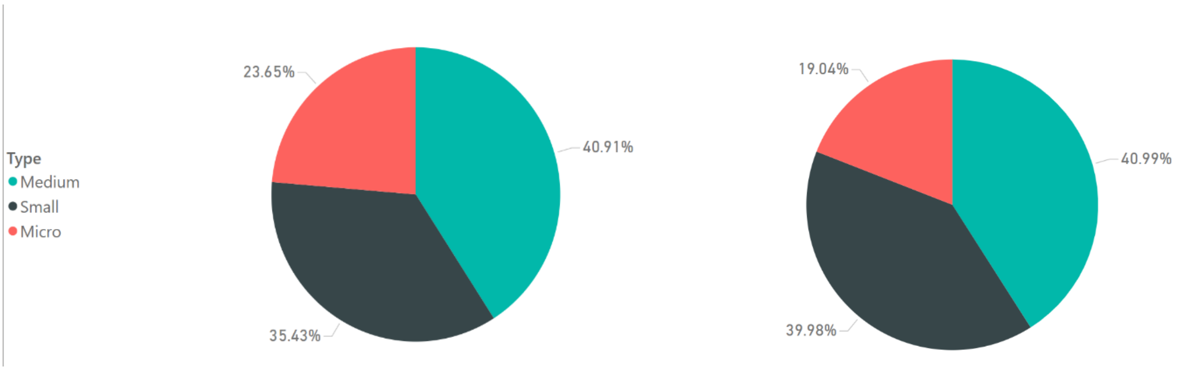
1.Import & Export through MSMEs

Technicality – These 2 are Simple pie charts with Imports and exports done by MSMEs on basis Micro, Small and Medium with a slicer of countries.

Inference –

Medium enterprises dominate both imports (around 40.99%) and exports (40.91%), indicating that they are the most significant contributors to international trade among MSMEs. Small enterprises follow closely, while Micro enterprises contribute the least, highlighting limitations in scale, resources, and global competitiveness.

When the country slicer is applied, distinct patterns emerge. For instance, China shows a strong dominance in imports (23.58) compared to exports (4.33), suggesting a trade deficit and dependence on Chinese goods. In contrast, United States presents a reverse trend, with exports (21.08) significantly exceeding imports (6.82), indicating a strong



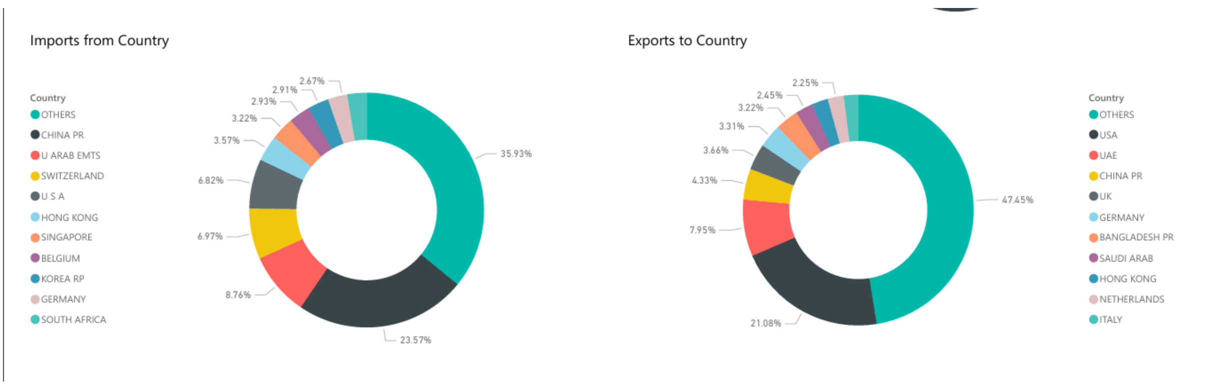
export relationship and demand for MSME products.

Similarly, United Arab Emirates maintains a relatively balanced trade, while Switzerland and Germany show moderate trade volumes with slight export advantages. Belgium also reflects higher exports than imports, especially driven by Micro and Small enterprises, suggesting niche market opportunities.

The "Others" category contributes the largest share in both imports (35.94) and exports (47.46), indicating diversified global trade links beyond major countries.

In conclusion, the data highlights that Medium enterprises are the backbone of MSME trade, while country-wise analysis reveals imbalances and opportunities. Strengthening Micro and Small enterprises, especially in high-export markets like the USA and Belgium, can help improve overall trade performance and reduce dependency on import-heavy countries like China.

2.International Trade



<u>Technicality</u> - These are two donut charts representing imports and exports to countries done by MSME Sector of India.

It has Amount of Import and Export not the % of whole trade.

<u>Inference</u> - A key observation is that the "Others" category dominates both imports (35.93%) and exports (47.45%), indicating that MSME trade is widely diversified across multiple countries rather than being concentrated in a few major partners.

Among specific countries, China stands out as the largest contributor to imports (23.57%), highlighting a strong dependence on Chinese goods.

However, its share in exports (4.33%) is relatively low, suggesting a trade imbalance.

On the other hand, United States shows the opposite trend, contributing significantly to exports (21.08%) while accounting for a smaller portion of imports (6.82%).

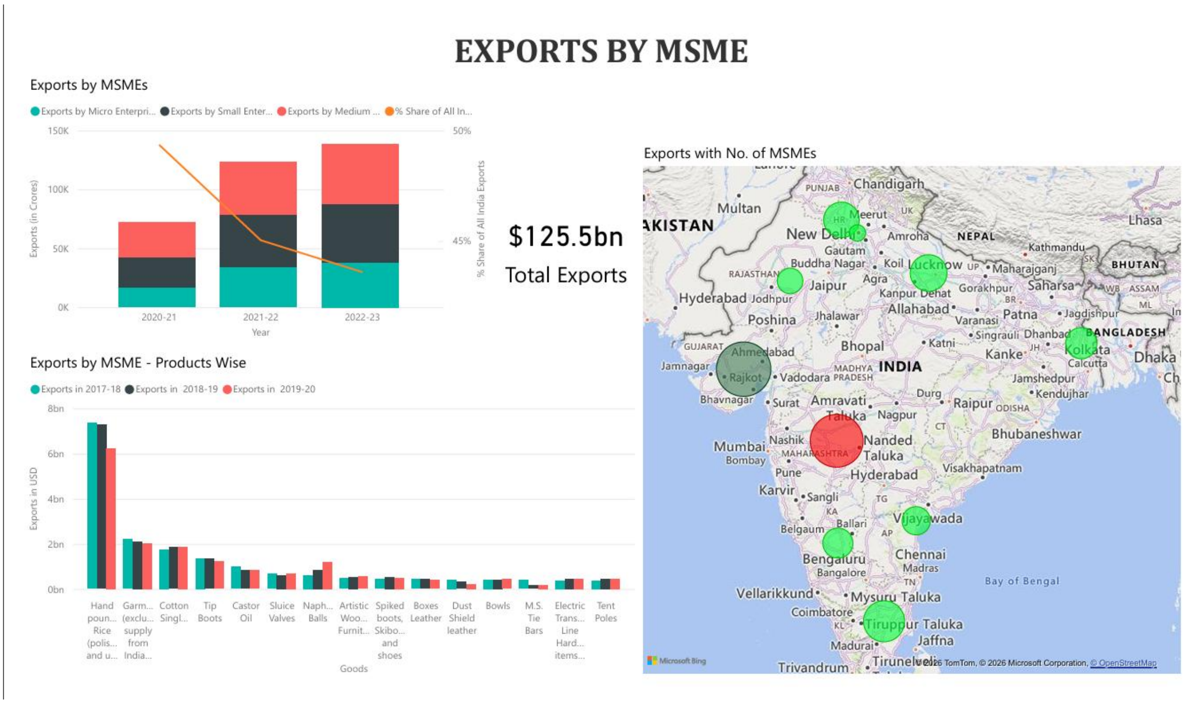
This reflects a strong export-oriented relationship and high demand for MSME products in the U.S. market.

United Arab Emirates maintains a balanced trade position, with moderate shares in both imports (8.76%) and exports (7.95%), indicating stable bilateral trade. Similarly, Switzerland and Germany contribute smaller but consistent shares, showing steady trade engagement.

Other countries like Hong Kong, Singapore, and Belgium have relatively lower individual shares but collectively contribute to diversification.

In conclusion, the charts highlight a clear import dependence on China and strong export orientation toward the United States, while the large “Others” segment emphasizes the global spread of MSME trade.

Exports Bifurcations



This Dashboard depicts the export bifurcation done by MSMEs Sector.

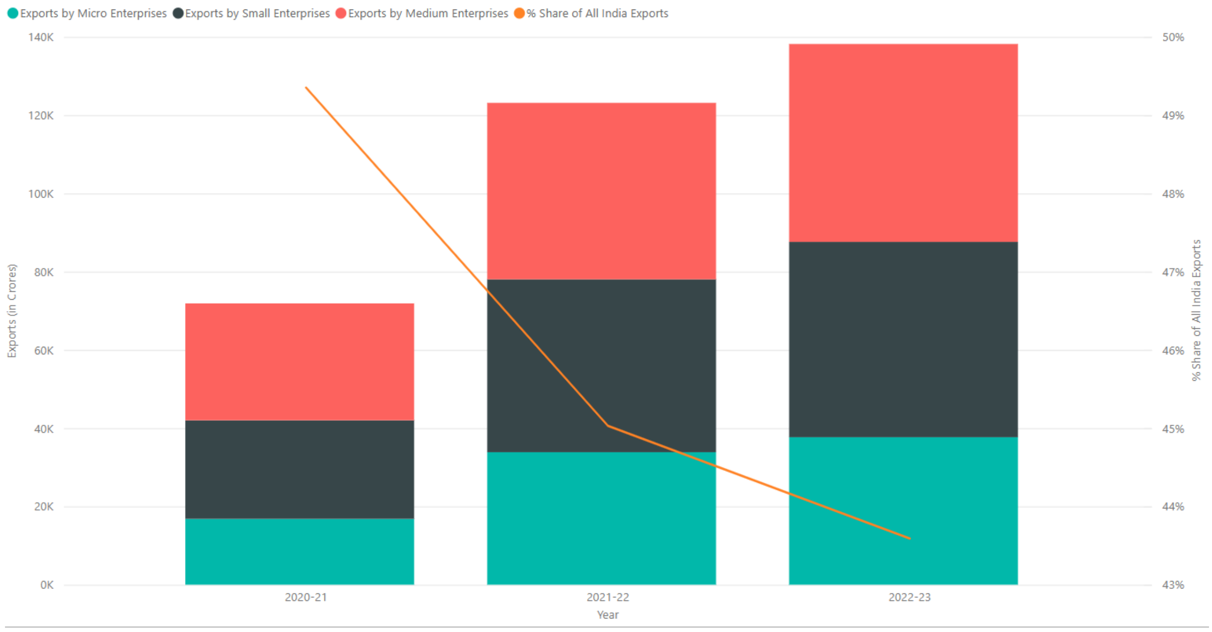
The Exports in 2024-25 are 125.5 billion US$.

The geographic concentration of MSME exports reflects cluster specialisation. Surat and Mumbai dominate diamond processing and jewellery exports; Tirupur and Ludhiana lead in knitwear; Agra and Kanpur are major centres for leather footwear exports; Rajkot and Coimbatore are known for engineering goods; and clusters in Uttar Pradesh, Rajasthan, and West Bengal are important for handicrafts. These clusters often represent world-class capabilities in their specific niches India's cut and polished diamond industry, for instance, accounts for approximately 90% of global diamond cutting and polishing by volume.

Recognising the importance of MSME exports to India's trade balance and its strategic objective of reaching USD 1 trillion in merchandise exports by 2030, the government has put in place a range of support mechanisms. The Merchandise Exports from India Scheme and its successor, the Remission of Duties and Taxes on Exported Products scheme, provide financial incentives to exporters. The Market Access Initiative scheme provides financial support for export promotion activities including participation in international trade fairs, buyer-seller meets, and market studies.

The MSMEs Exports are noy just beneficiary for Government but for importers as they are low priced.

1.Contibution to Overall India Exports



Technicality – This a Stacked column chart with a secondary axis line the bars show the amount or magnitude of the stock whereas line shows % of Exports done by the MSMEs as % of Total India Exports.

Inference –

A major inference from the chart is that total exports by MSMEs have shown a consistent and significant upward trend across all three categories—Micro, Small, and Medium enterprises.

Medium enterprises contribute the largest share of exports throughout the period, followed by small enterprises, while Micro enterprises contribute the least.

However, all three segments show steady growth. From 2020–21 to 2022–23, exports by Micro enterprises increased notably, indicating improving participation of smaller units in global trade.

Similarly, Small enterprises demonstrate strong growth, reflecting better scalability and market access.

Medium enterprises, being more established and resource-rich, continue to dominate export volumes and drive overall growth.

Another important observation is the rising total export value, which increases from around ₹70,000 crore in 2020–21 to nearly ₹1,40,000 crore in 2022–23.

This reflects a strong recovery and expansion phase, possibly due to improved economic conditions, policy support, and increased global demand.

This could mean that large enterprises or other sectors are growing at a faster pace.

In conclusion, the data highlights a positive growth trajectory for MSME exports, driven mainly by medium and small enterprises, with increasing participation from Micro units.

2.Product wise Analysis

Technicality –

This a cluster column chart with the product which are exported across three years showing top 10 exported goods.

The Y – Axis is showing amount of imports in billion US $.

Inference –

One of the most striking observations is the dominance of traditional and labour-intensive goods, particularly **Hand Pounded Rice**, which consistently remains the highest export contributor, although it shows a decline from 2017–18 to 2019–20.

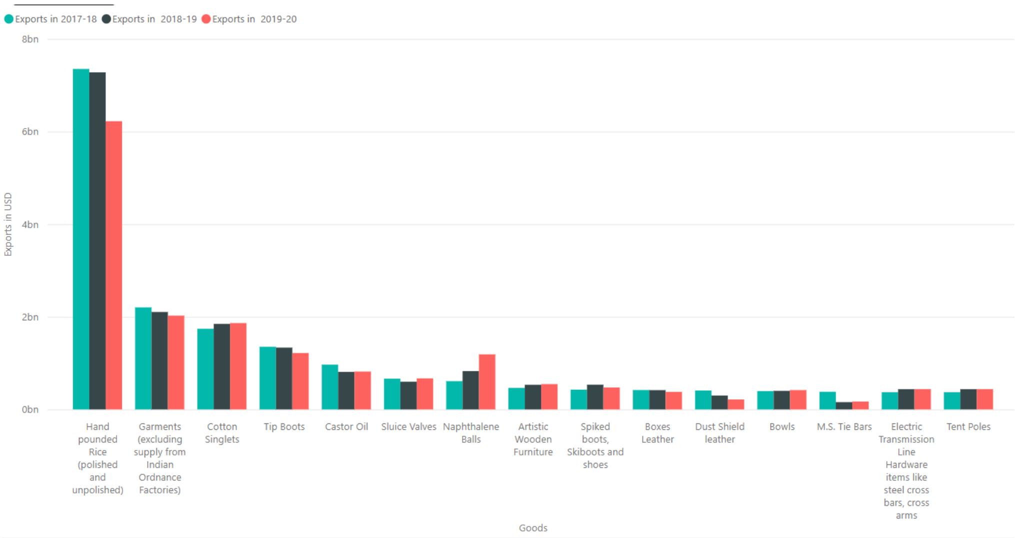
This decline suggests either reduced global demand, increased competition, or a shift in export focus toward diversified products.

Textile-related products such as Garments, Cotton Singlets, and Cotton Hosiery also form a major share of exports. However, garments show a gradual decrease over the years, while cotton-based items display relatively stable or slightly increasing trends.

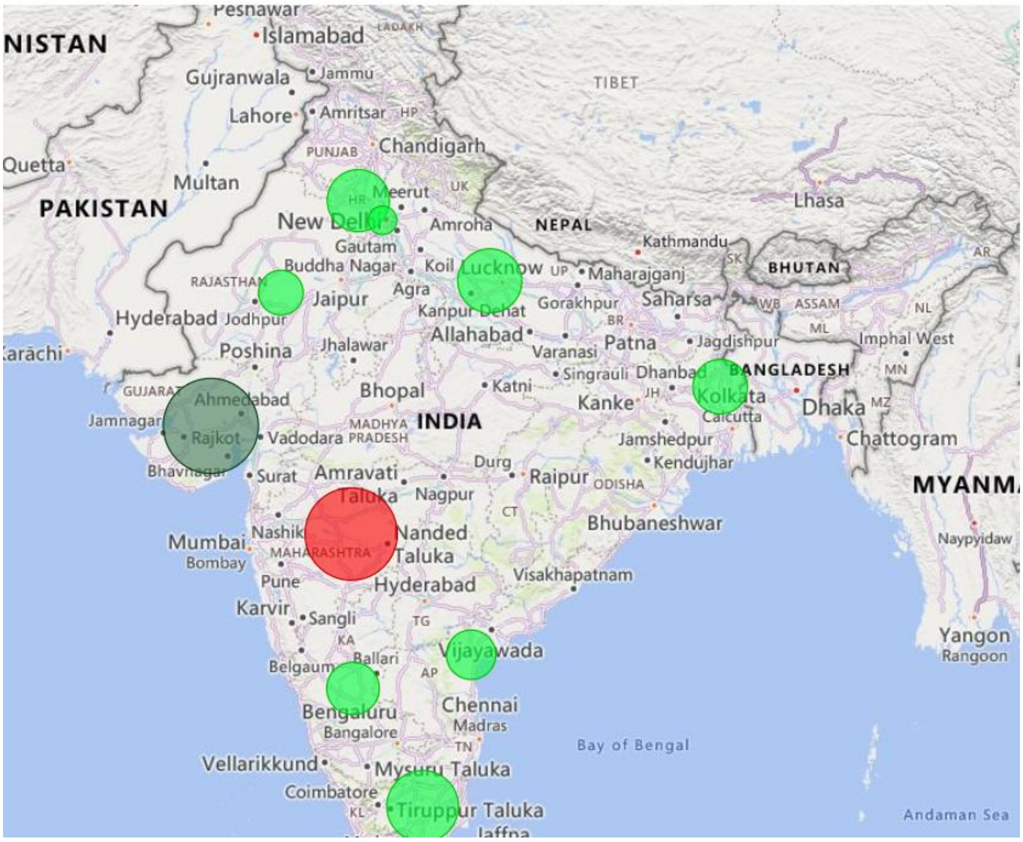
A key positive trend is visible in industrial and electrical goods. Items like Battery Chargers, Inverters, and Electrical Transmission Line Hardware show significant growth, reflecting increasing technological capability and demand for engineering goods.

Overall, the total exports remain relatively stable, with slight fluctuations, indicating resilience in the MSME sector despite changes in product demand. The data highlights a gradual structural shift from traditional, agriculture-based exports toward more industrial and technology-driven goods. This transition is crucial for enhancing global competitiveness and increasing value addition.

In conclusion, the MSME export sector is evolving, with growth in modern industries balancing the decline in traditional sectors. Strengthening innovation, improving quality standards, and expanding into high-demand global markets can further enhance export performance and ensure sustainable growth.



3.MSME`s Export – Top 10 States



Technicality –

This is a bubble map with states as its location column.The Size of bubble shows the sum of exports done by the states whereas the colouring of the bubble is a conditional formatting done on the basis of the number of exports.

Inference –

The map highlights the geographical distribution of MSME activity across India, showing a strong concentration in major industrial and urban centres.

Cities like Delhi, Ahmedabad, and Kolkata emerge as key hubs, indicating high business density and economic activity.

The largest cluster appears around Mumbai and Maharashtra region, suggesting a dominant role in MSME operations and exports.

Southern cities such as Bengaluru, Tirupur, and Vijayawada also show strong presence.

Overall, MSMEs are concentrated in economically developed regions, highlighting regional imbalances and the need to promote growth in less-developed areas.

Maharashtra having highest number of MSMEs is overtaken by gujurat in terms of exports.

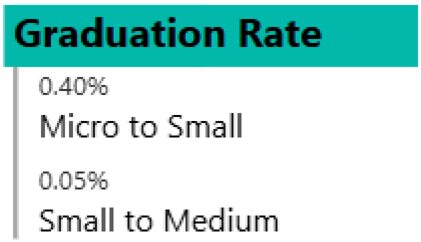
Conclusion and Future Outlook

The Conclusion drawn from this project and overall analysis of the MSMEs sector in India is Government should focus on *increasing Graduation rate than increasing no. of MSMEs.* The graduation rate means going to higher level which is very low as we can see in the visual.

As the MSMEs are in a saturation state their graduation or promotion to other level will lead to expansion of Job opportunities, output and also the international trade. Henceforth, Increasing the Contribution of MSMEs in India`s Growth and Development.

The project can be more enhanced with inclusion of three Points:

1.Availablity of Data



The more yearly and State – wise data will make the project and dashboard more dynamic.

2.Taxation

The Tax division on basis of MSME type and direct, indirect can be taken into consideration.

3.Division of others

The data is only for top 10 and then others if that others will be divided respectively it will enhance the project.

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